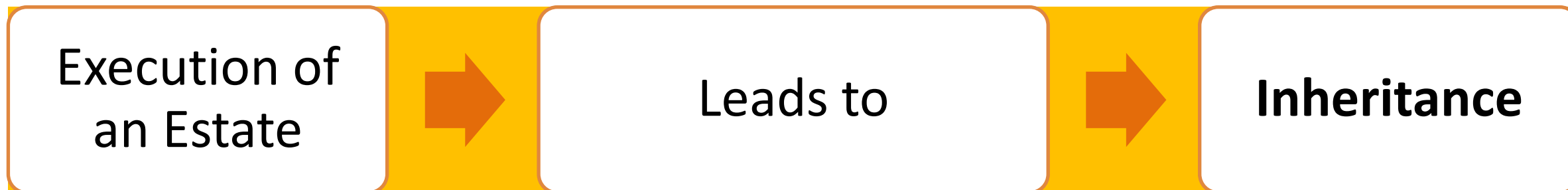




4. Distribution vehicles

Key terms: Inheritance (what is received)



- Inheritance is the **receipt of property from an estate**,
- Ownership may be
 - **Legal**, i.e. right to manage the property, or dispose of it
 - **Beneficial**, i.e. right to use and enjoy the property
- Legal heirs have both kinds of ownership

Key terms: Present Interest / Future Interest

- **When** one receives / can use the inheritance **is very important**
- Inheritance can have Present or Future interest
- This governs when the benefit can be used by the recipient

Present Interest

- Allows immediate use, E.g.
 - inherits farmland and uses it immediately
 - Receives insurance immediately

Future Interest

- Cannot avail till a point in the future, E.g.
 - Receives house only after death
 - cannot access trust funds till testator dies

Lifetime Transfers strategies

- Lifetime, or *inter vivos*, transfers have two purposes, **usually enabled via Gifting**
 1. **removing assets from an estate** to reduce tax and other concerns
 2. **see the recipient use the gift** during ones lifetime
 - The recipient may be a family member, friend, partner, charity, alma mater, or other.
- Regardless of intent, either the gift-giver or recipient may incur a tax
 1. Gifts may be exempt, potentially exempt, or a fully taxable
 2. Many territories have a *lookback* period for when the gift giver dies within a certain period of years following the transfer.
 3. If a gift is potentially taxable, look at whether any reduction in value via appraisal, depreciation, or other, may be applied.

Gifts

Key term: Gifts

- A way to transfer assets during one's lifetime
- Technically, a gift must be **complete** to qualify as a gift.
 - **Complete** means owner has relinquished all control over the property being transferred
- Minors cannot gift

Gifts

- Must be completed **while doner is still alive**
- Owner can relinquish right (e.g. gift Rs 1 Cr) or transfer benefit (e.g. interest from Rs. 1 Cr)
- Done so that doner can see the recipient enjoy the gift in their lifetime **OR given to reduce the owners estate size** for tax purposes (e.g. gifts 20 lacs from an estate of 1 Cr)

Gift rules

- **Gift tax:** Applies in some territories
- **Lookback period:** Countries like UK will return gift value to estate if doner dies before lookback period is completed (e.g. within 7 years of gifting)

Gifts & gift taxation in India

- If an immovable property above the value of INR 100 is to be gifted, the instrument of gift is required to be **compulsorily registered with two witnesses**
- Mohammedan law sometimes permits an oral gift to be made of immovable property, known as '**Hiba**'.
- Gifts are **not taxable in India**, provided they are from **close relatives**, which include grandparent and parents on both sides, spouse, siblings, children, grandchildren or spouses of any one of these
- Gifts received from **anyone not a close relative are taxable beyond Rs. 50,000** and must be declared as income in each Financial Year where aggregate value > 50,000
 - Other than cash, Income Tax department will consider the value of the gift based on **stamp duty value** (for immovable property) or **fair market price** (for movable property).

Intra-Family Transfers (Loans)

- Another method of making an intrafamily transfer **is through use of a loan.**
 - Used if the recipient does not want a gift
 - It allows assets to be kept within the family
- **To be a loan**, a financial transfer must have a legally recognized agreement, a stated rate of interest and a repayment period with minimum required payment amounts.
- An intrafamily loan is slightly different from a commercial loan, as usually
 - **the interest rate charged can be quite a bit lower.** The government may have regulations regarding how low the rate can be - it can be as low as 0% in some territories.
 - **Repayment period can be extended.** Additionally, loan repayment amounts stay in the family (e.g., from the child to the parent), and can be used to increase cash flow or whatever purpose the parent wants

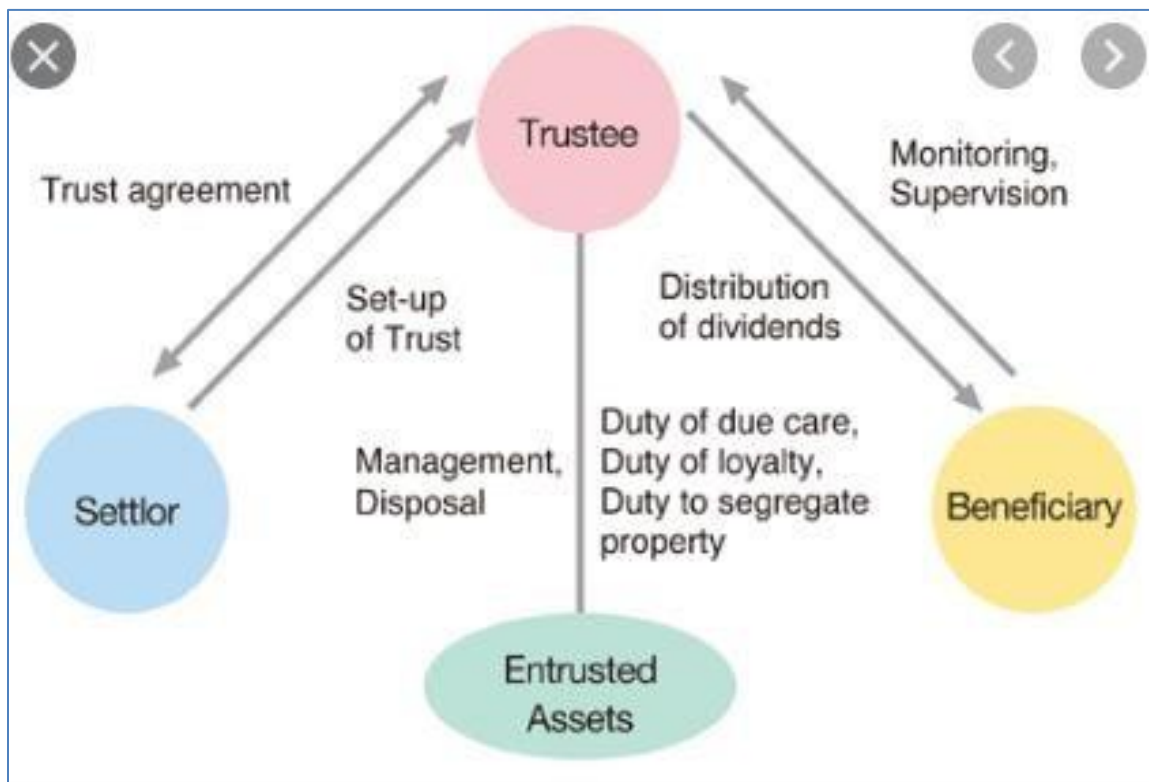
How loans work

1. The parent cannot undervalue – e.g. a business worth \$1 million has an intrafamily loan value of \$100,000. The difference between the two values (\$900,000) will be deemed a gift and treated accordingly.
2. loan effectively **freezes the asset's value as of the execution** of the transfer. E.g., a transferred business is valued at \$1 million and grows over time to be worth \$10 million, the parents tax exposure is only \$1 million.
3. On the negative side, a pitfall is allowing the loan to become a gift.
 - A parent may make a loan to a child and then forget about it. When this happens, the loan remains part of the parent's estate and can be taxable.
 - A child may not honor the agreement. If the parent does not enforce the repayment requirement, the loan will be considered a gift and treated accordingly.
4. Care also should be exercised when considering the possibility that a married child gets divorced from his or her spouse. In the divorce decree, the property may be granted to the ex-spouse, and this almost never is what the parent desires.

Trusts

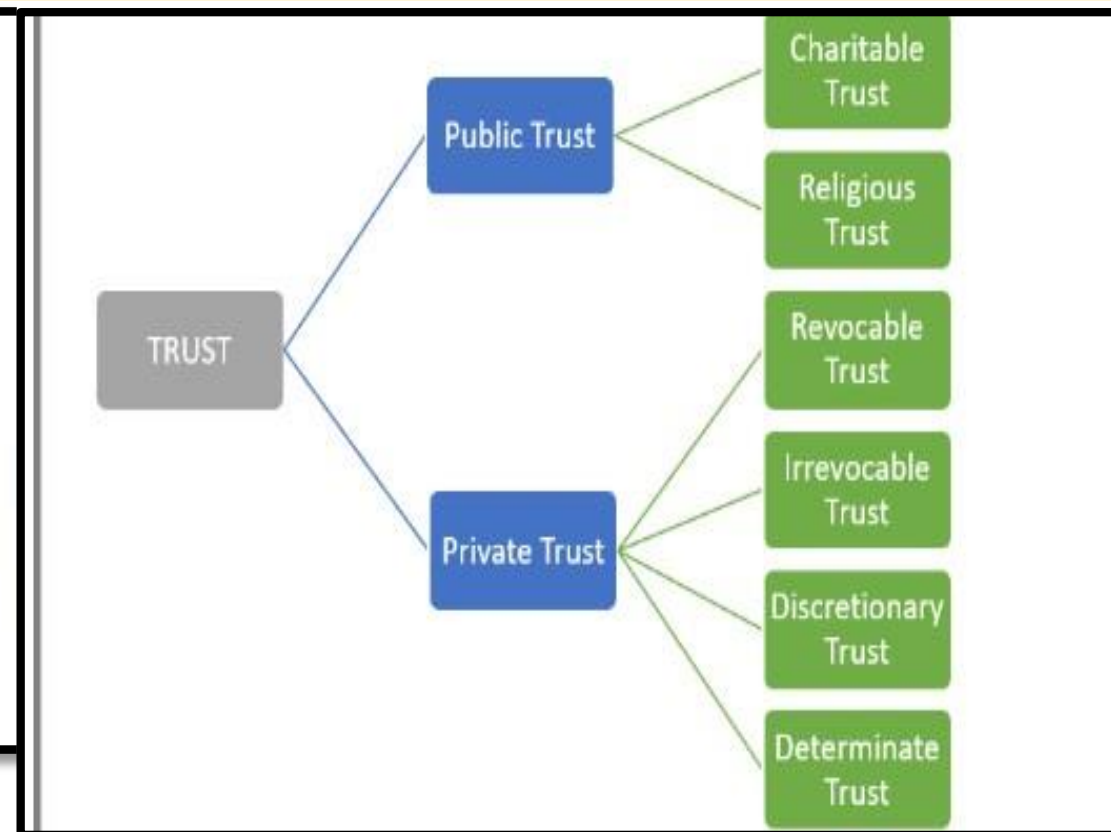
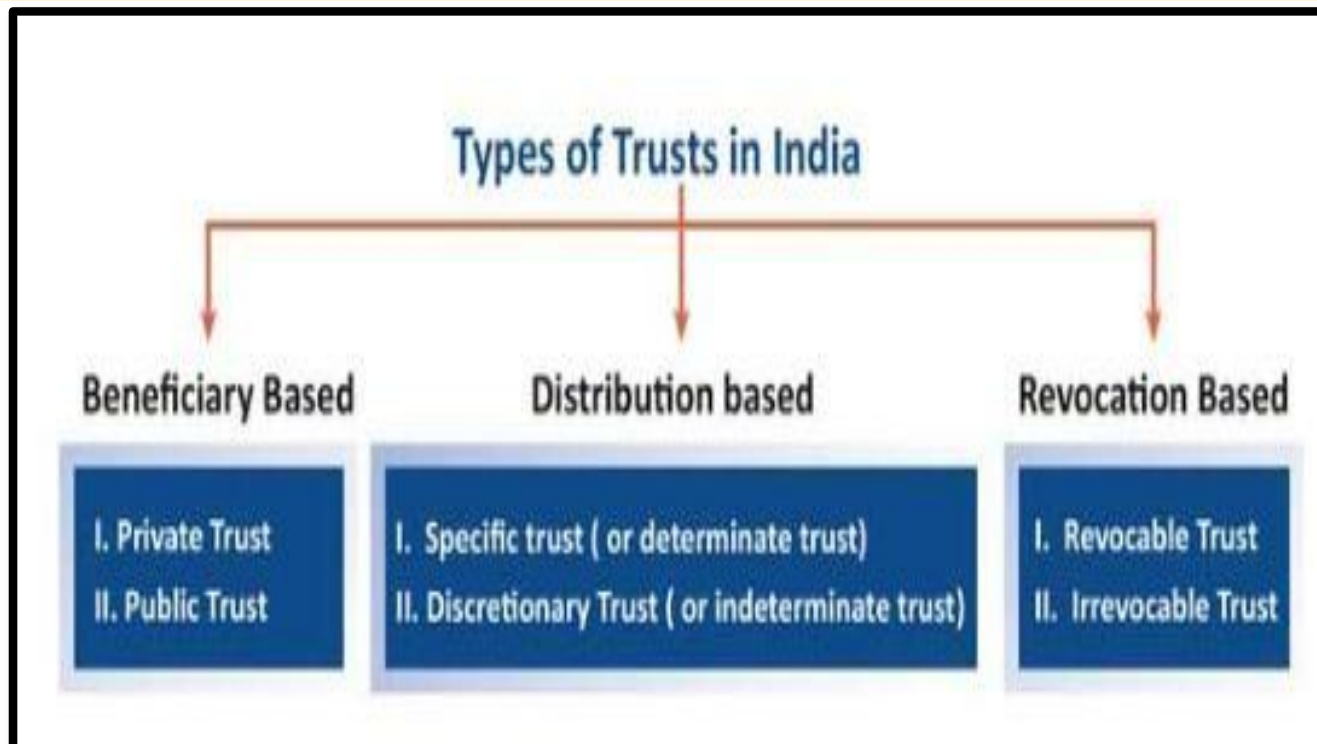
Key terms: Trusts

- A way to transfer assets during one's lifetime.
- A Will can then be used to dispose of assets not included in the Trust.
- Trusts are **transparent**, **flexible**, able to **meet special needs** and **tax efficient**



- The **Indian Trusts Act, 1882 (ITA)** governs private trusts.
- It **does not apply to** Muslim Law, nor HUF property
- **Key participants** in a trust are
 - Author /Settlor
 - Trustee (and Protector)
 - Beneficiary
- **Key terms** are
 - Trust Deed
 - Trust Property

Types of Trusts in India



Discretionary: When beneficiaries and/or their beneficial shares are not specified, and trustees can decide.

Specific: When beneficiaries and/or their shares are fixed, and trustees have no say in this.

Revocable/ Irrevocable: Pertains to whether the Trust can be modified once set up.

Offshore Trusts in India

- An offshore trust, in the Indian context, is a trust formed outside India by an Indian resident. It allows an Indian resident to
 - hold, own, transfer or invest in foreign currency, security and immovable property outside India
 - if such assets were owned, held or acquired by him while he was a resident outside India
 - or if he has inherited property from a person who was resident outside India.
- If an Indian resident wishes to transfer funds to an offshore trust, he may do so through the Liberalized Remittance Scheme (LRS), under which upto USD 250,000 per person per financial year may be remitted overseas without RBI permission.
- The Reserve Bank of India (RBI), through the Foreign Exchange Management Act, 1999 (FEMA) and Exchange Control Regulations oversees the parties to a trust on the basis of residential status.
- Such trusts are also subject to Indian Tax Laws, Prevention of Money Laundering Act, 2002 and Black Money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act, 2015

Using Trusts for Business Succession Planning

- A trust can also be used for succession planning, i.e., to distribute profit, royalties or other incomes between family members (beneficiaries), monitor the company's management, and also, if required, retain control over financial key decisions
- Setup requires appointment of successors, or trustees responsible for the functioning of the business (who may also be family members), establish guidelines for business operations and distribution of income or dividends and allow for retention of management control.
- Such a plan can also:
 - create clear divisions between members' personal and professional responsibilities,
 - determine professional roles and duties,
 - demarcate ownership interests/shares,
 - provide transparent functioning and reporting, including with respect to business decisions,
 - establish an efficient dispute resolution mechanism, and
 - provide for independent expert advice, including through a trust structure

Family Arrangements & Business transfer

Family Arrangements

A family arrangement or settlement is another vehicle used to handle succession planning. **There is no 'one size fits all'** in a family arrangement or settlement, each family having its own objectives.

1. memorandum or agreement which either sets out the acts, deeds, matters and things to be completed, or which itself operates as an instrument of transfer of any or all assets
2. instruments of gift under which assets and properties, or a share or interest therein, are gifted;
3. instruments creating a private trust for the benefit of certain family members and/or their children and/or future generations
4. instruments of sale and transfer, for transfer of assets and properties, or a share or interest therein;
5. instrument setting out a business succession plan, including goals, expansion, and rights and obligations of family members;
6. one or more wills bequeathing assets and properties, or a share or interest therein and,
7. a memorandum or recording of the family arrangement or settlement, which serves, *inter alia*, as recording of all acts, deeds, matters and things done and completed in effecting and completing the same.

Business transfer: Buy Sell agreement

- Buy-Sell agreement is a legal document that specifies how sale will happen
 - It looks to define a smooth transfer of ownership from the surviving spouse (inheritor) to another party or existing business partners
- It covers following broad points

Who can buy the Departing owner's shares

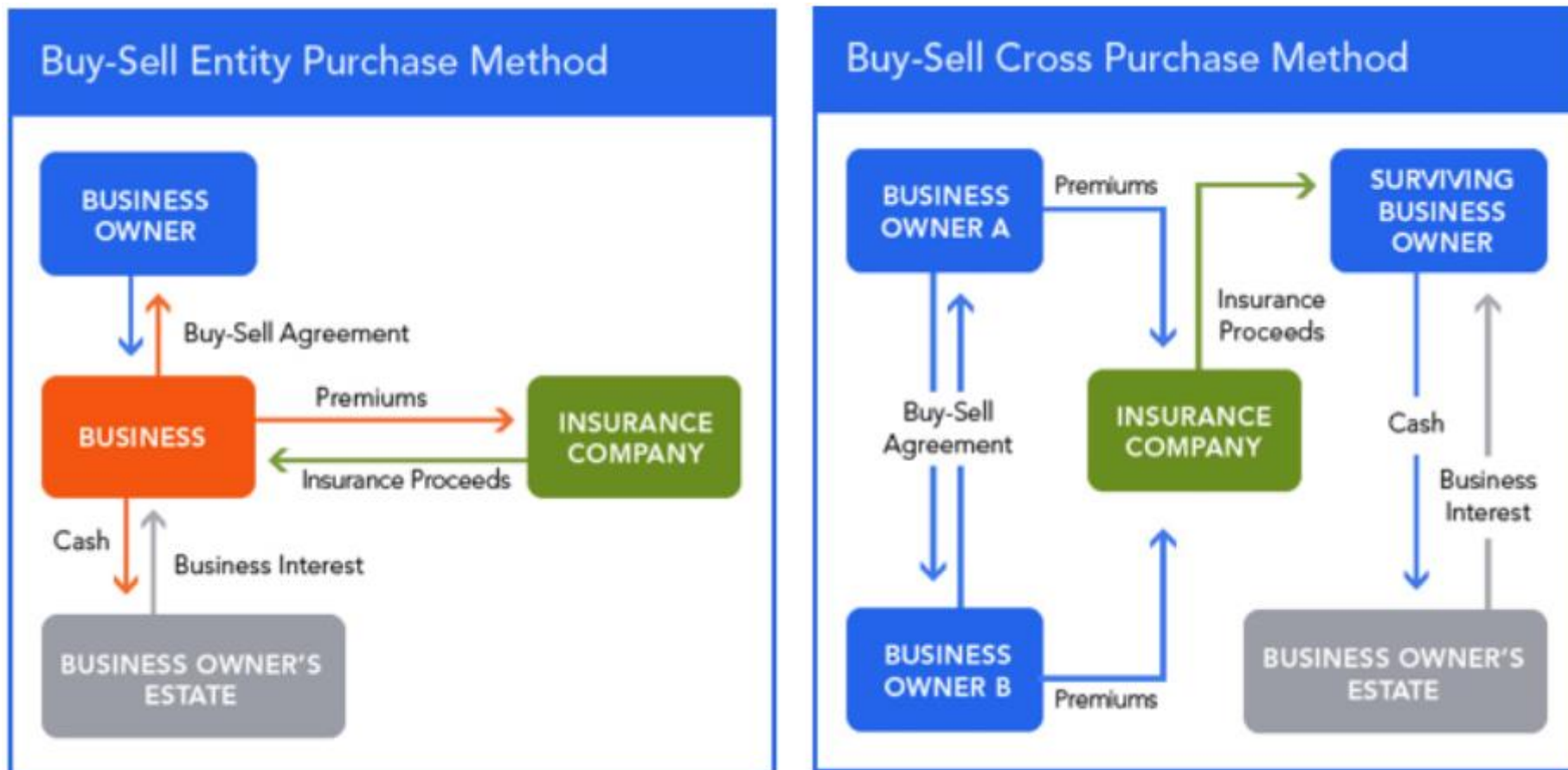
Circumstances that allow the shares to be sold, e.g. death, disability

Price at which the shares will be sold

Backup plan (e.g. suspend operations / appoint a firm to manage business) in case sales

- In all cases, purchase of shares by the Other Party / Business Partners requires funds
 - Life insurance is usually the route to create these funds
 - The business takes out insurance on the life of the partner and receives this money on death
 - This money is used to settle with the surviving spouse

Buy Sell: 2 methods of arranging for Funds



Will

Functions of a Will

➤ Basic Functions of a Will

1. **Specifying how** the individual wants the estate to be distributed at death
 2. **Naming an executor** (who will help administer the estate)
 3. Naming a **guardian/administrator** for young (minor) children
 4. **Revoking** any previous versions of a will
- *Residuary Clause* in the will stating that all that remains following payment of debts, etc., and specific amounts already identified in the will, should pass to a designated person or organization. It's a catch-all statement that keeps anything from falling into a place where the probate court will have to determine the distribution.

Classification of Wills (India)

Privileged Will (Section 65)

- A special will **made in extraordinary circumstances** like war or a dangerous expedition.
- Such will can be made oral or in writing.
- Section 65 provides that any will made by a soldier or an airman or a mariner, who has attained the age of eighteen, when he is in actual service and is engaged in actual warfare, would be privileged.
- Such person can dispose of his property by a will as prescribed by the mode, manner and rules as described in section 66

Unprivileged Will (Section 63)

- **Every other person can only make an unprivileged will** (i.e., does not fall into privileged wills)
- Unprivileged wills include joint wills, mutual wills and contingent wills.
- must be in writing, contain a signature or mark of the testator in presence of two attesting witnesses who must also sign or affix their marks in the presence of the testator.

Types of Wills (India)

Contingent Will

- bestowment of estate is **subject to fulfilment of condition or event** mentioned in the will.
- It is executed only if the conditions are met, failing which the will is void.

Concurrent Will

- **two wills written by one person**, E.g., one dealing with immovable and the other movable property.
- They co-exist with one another and collectively are held to be valid in law.

Mutual Will

- **executed by two persons mutually** who confer reciprocal benefits on each other, E.g., husband and wife
- The terms of such will are **binding on the surviving testator** after the death of the other.

Joint Will

- **two or more persons** agree to make a conjoint will to determine how their joint estate will devolve upon their beneficiaries.
- Becomes **irrevocable on death of any one** of the testators

How to Draft a Will

In India, any plain paper with your Will that is handwritten or typed on it, along with clear instructions on how you want your estate to be distributed or managed, is accepted by the government of India as a legal Will draft. So, the process of making a legal Will in India is quite convenient. In addition, it does not require a stamp paper or notary of a Will. A legal Will draft must include:



Information about the testator and their family



Details of the estate, including property and assets



Details of liabilities



Wealth distribution wishes



Bequests



Names and signature of two witnesses



Date and place



Testator's signature

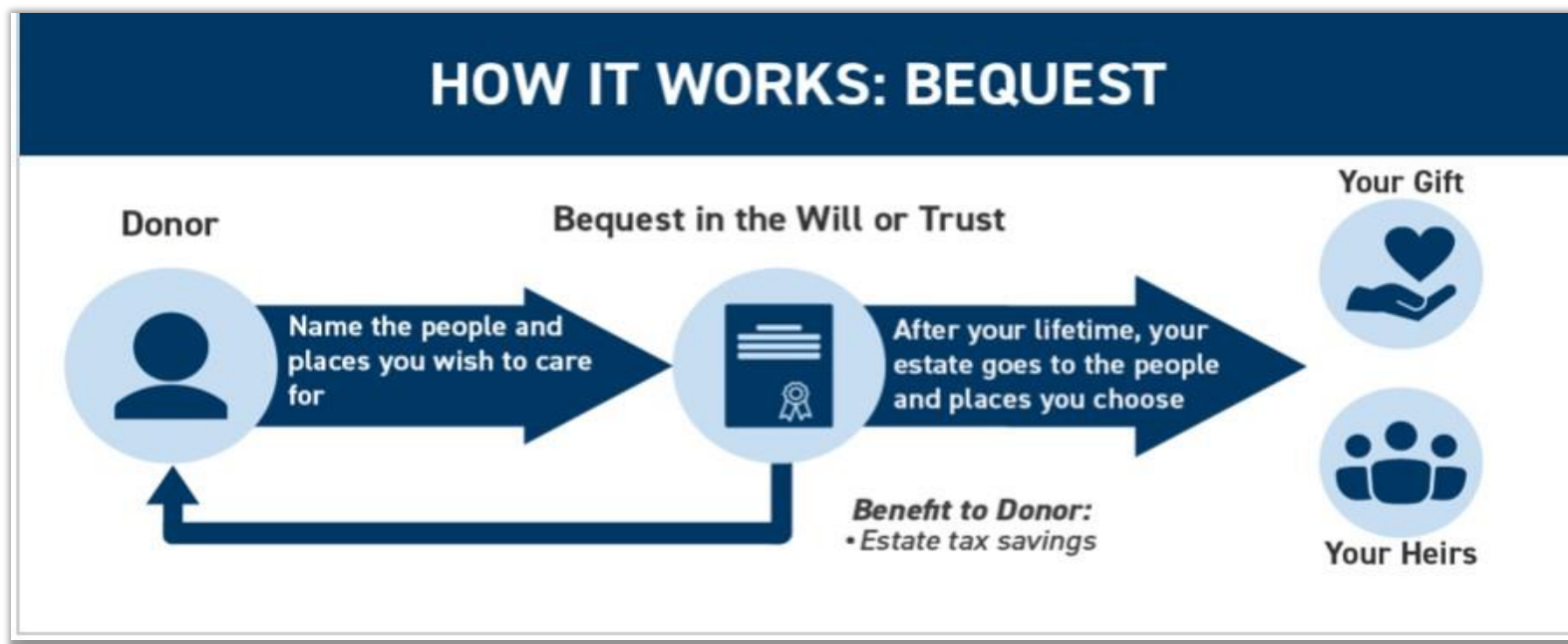
Will requirements (as per ISA 1925)

- Conditions for a **good Will**
 1. be **clear and describe, in detail, the estate**, and contain **unambiguous bequests**, and provide for **alternate bequests** in case primary bequests fail or are invalid;
 2. contain a **residuary provision** to cover any part of the estate that is not dealt with specifically;
 3. although not mandatory, it is **advisable to name an executor**
 4. an **optional 'In-Terrorem' provision** stating if a beneficiary challenges the will or bequests, they will lose all benefits under the will. While this person can legally challenge a will, the 'in-terrorem' is an efficient deterrent.

- A will **may be declared void** if it is:
 1. made by a person of **unsound mind or a minor**
 2. obtained by **fraud, coercion, or importunity**
 3. a **privileged will** and the testator **survives beyond a month** from making it.
 4. **not expressive of any definite intention** (void for uncertainty).

Bequests in a Will

- Types of bequest in a Will
 - **Specific Bequest:** a specific asset or assets, e.g., movable, immovable
 - **Percentage Bequest:** a specific percentage of your overall estate
 - **Residuary Bequest:** the remaining balance of the estate after all specific bequests
 - **Contingent Bequest:** takes effect if heir(s) reject the bequest or do not survive the testator.
 - **Onerous Bequest:** legatee can either accept in totality or reject in totality



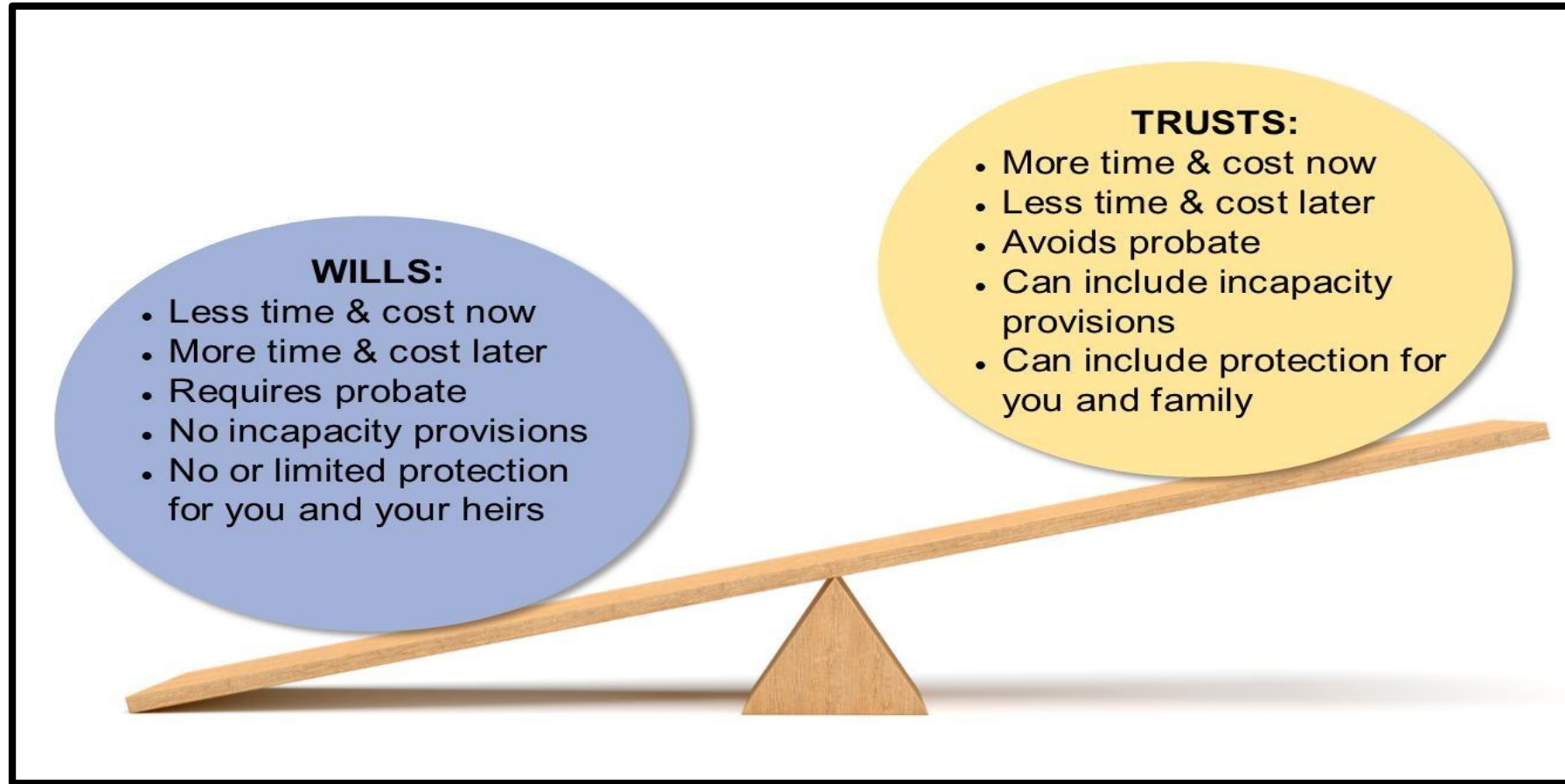
Wills: Attestation, Registration (ISA 1925)

- A Will must be attested to by two witnesses in the presence of the testator
- **Registration:** A will's **genuineness cannot be challenged** on grounds of non-registration.
 - Nevertheless, registration of a Wills **have some advantages**
 1. Safety: kept in the safe custody in the office of the Registrar
 2. Security: access restricted as per Section 57 of Registration Act

Amendments and Codicils (ISA 1925)

- the testator is always entitled to alter and/or revoke a will, and has three options
1. **overwrite the original will** and obtain new signatures of the attesting witnesses,
 2. **preparing a codicil**: A codicil is an instrument specifically made in relation to an executed will, that **explains, alters or adds to its dispositions**, and is deemed to form part of the will. In practice **if will is registered, codicil should also be registered**.
 3. **preparing and executing a new will**. Advised when
 - structural changes are needed for a will,
 - or when a will requires an overall change
 - or the circumstances warrant changing substantial dispositions or bequests,
 - or has several codicils that can create administrative confusion

In summary: Trusts v/s Wills



Types of Estates

- **Gross Estate** is everything owned by the decedent.
 - All current assets, investment accounts, portion of jointly held assets, amounts owed to the individual, but not yet paid, ongoing royalties, real estate rents, retirement accounts, life insurance, revocable living trust assets, trust assets where the decedent was the beneficiary, real property, and business interests.
- **Probate estate**, only those assets that pass through probate.
 - Only those assets distributed according to a will or by the rules of intestacy. It does not include life insurance, irrevocable trust assets, certain ownership titles or any other assets that pass according to law.
- **Taxable estate** will vary by territory.
 - **Taxable Estate** = Gross estate less the following
 - Less assets legislatively carved out of the taxable estate (e.g. assets going to spouse)
 - Less debts and other expenses (last rites, liquidity, medical bills, admin costs etc)
 - Less any taxable exemptions (e.g. how an asset is owned or titled)



5. Legal aspects

Transfer at Death –Probate Process

- Probate is the **orderly process of estate distribution** according to a valid will or applicable statute (e.g., rules of intestacy).
- It is handled through a probate court (which may or may not hold that title, depending on the territory). It is orderly , fair, structured
- *A disinterested, unbiased third party* will have made a ruling that is as fair as possible.
- Probate provides a venue for heirs to receive valid titles and other forms showing a change in ownership. It also gives creditors a venue to ensure legally valid claims are honoured.
- Downsides : Expensive, time delay and information can be made public (Famous people concern)

1. Aggregate and assessed value of Estate
2. Honor specific and proportionate general legacies in the manner prescribed by the ISA 1925
3. Provide funds for the performance of funeral ceremonies of the deceased, if estate has such funds available
4. Collect the property of the deceased and the debts that were due to him at the time he was living, with reasonable and due diligence.
5. Preparing and filing tax returns and paying taxes out of the estate. This may require the executor to liquidate assets.

Powers of the Executor (India)

An Executor has been granted the same powers as the deceased.

1. Can sue any party for all causes of action or to recover debts owed.
2. Can prosecute or defend any parties
3. Can spend money out of the deceased's estate to care for property belonging to the estate
4. Has complete legal right over the assets of a testator and can dispose of and deal with the property of the deceased in such manner as he may think fit. However, there are certain caveats or exceptions to this power :
 - limited by any restriction contained in the will, unless Probate overrules these restrictions
 - may not, without the permission of the court –
 - mortgage, charge or transfer by sale, gift, exchange or otherwise any immoveable property for the time being vested in him under section 211; or
 - lease any property for a term exceeding five years.

Powers of the Executor

5. **Cannot purchase any part** of the property of the deceased, either directly or indirectly (to ensure fiduciary objectivity)
6. If a Will names several executors or administrators, they **will enjoy the same powers**
7. Same powers **are given to a minor appointed** as an administrator as if he/she was appointed as an administrator who has attained the age of majority.
8. Section 315 gives **a married woman** to whom a probate or letters of administration has been granted, the same powers as an ordinary executor or administrator.

Obtaining a Probate

- **Obtaining a Probate** : A probate is granted by a competent court of law. Different states have different procedures to applying for and obtaining probate. Typically, a petition for probate must contain
 - Schedule of properties, assets, credits and debts of the deceased
 - documents such as the executor's oath, affidavits of consent of legal heirs and at least one attesting witness.
 - value of properties movable and immovable to ascertain the net value in Indian Rupees (INR).
- The court will then issue a notice to invite claims by creditors and heirs and also verify that the executor is the person that is authorized in the Will
- Finally, the court will issue a **Succession Certificate**, specifying its ruling on distribution
- **Applicability of a Probate** : A probate once granted acts as formal permission to the executor to transfer the properties to whom they are bequeathed. The executor is provided with a certificate proving the Will it is genuine.

Order in which estate is apportioned

- Sections 321 to 325 lay down an order in which the estate of the deceased is to be apportioned, where expenses take priority over debts, followed by inheritance.
 1. firstly, expenses incurred on funeral ceremonies, death-bed charges including medical attendance and stay for one month preceding death, that are payable
 2. Secondly, expenses of obtaining probate and costs that may be incurred in respect of judicial proceedings necessary to administer estate, are to be paid
 3. thirdly, wages due to any labourer, artisan or domestic servant, for services rendered within three months of death, are to be paid.
 4. fourthly, other debts according to their respective priorities
 5. Finally, the executor can then petition for permission to distribute what is left of the decedent's assets to the beneficiaries named in the will

- *No creditor shall have a right of priority over another; but the executor or administrator shall pay all such debts as he knows of, including his own, equally and in proportion as far as the assets of the deceased will extend.*